AVGO | Broadcom Inc | Full investment artifact

Full investment research | Model assumptions and source evidence

Research update: 11 October 2026. Framework 8.0. The September 30 operating model and October 2 credit-risk assessment are retained; the latest accelerator forecast is reconciled for timing and overlap.

Q4 2027 ceiling: USD 690.5983 per share, valuing Q4 2027 through Q3 2028. **Analytical Base: 82/100. Excel Base: 82/100.** The headline follows the current master horizon; every quarterly ceiling is unchanged.

Valuation method: 20x non-GAAP operating profit. Revenue/profit and shares in billions. Fiscal proxy mapping retained; calendar/fiscal comparability is in the 25% event probability. Financial amounts: USD B. Price, upside and ranking remain workbook-owned. The existing approved operating proposal remains in force. The financing review is not a new earnings release or a fresh stock-price quote.

October 11 review: calendar alignment removes almost all apparent new upside

The October 9 BofA forecast is a calendar-year accelerator forecast, while the inherited Goldman branch was allocated to Broadcom fiscal buckets. Broadcom fiscal Q1 spans approximately November-January. Comparing the two without shifting the monthly windows exaggerates the new gap. This review uses uniform months inside each fiscal quarter: CY = one third of the displayed Q1 plus Q2/Q3/Q4 plus two thirds of the following Q1. Actual 52/53-week boundaries and nonuniform shipments introduce timing uncertainty.

CY, USD B	Reference XPU	Existing full Goldman conditional XPU	Existing active 25%-weighted XPU	BofA accelerator	BofA minus full conditional
2027	94.413333	102.000924	96.310231	102.600000	0.599076
2028	182.986667	190.782633	184.935658	187.300000	-3.482633

The existing full fiscal-year branch is $125.477B/$240.306B of AI semiconductor revenue, containing both XPU and networking. The retained 73% XPU mix produces fiscal XPU endpoints $91.598210B/$175.423380B. After calendar alignment, those become $102.000924B/$190.782633B. The existing 25% weighting produces the active column; it must not be mistaken for a different source outcome onto which the entire BofA forecast can be stacked.

Rule 16b residual diagnostic: retain a 25% execution probability for a bounded incremental check, apply 100% overlap to the already modeled full conditional branch, and consider only a positive residual. In CY2027 this leaves $0.599076B of conditional XPU revenue, about 0.6% above the existing branch. At 25%, weighted revenue is at most $0.149769B and operating profit at the retained 62% semiconductor margin is at most $0.092857B. CY2028 has no positive residual: BofA is $3.482633B below the existing full conditional branch. The margin proxy already includes operating costs; a second operating-leverage or pricing increment would duplicate profit.

Active decision: zero additional revenue or operating profit. The tiny 2027 residual is below the materiality supported by uncertain month and invoice boundaries, and there is no sustained positive 2028 residual. This is an explicit overlap/timing decision, not a zero probability assigned because official confirmation is missing. The existing stronger branch is retained rather than averaged down against the new bank forecast. AEC, networking and whole cloud capex are not added again to XPU sales. A future comparable customer allocation or shipment revision could change the branch; a larger capex headline alone does not.

Q4 2027 ceiling remains $690.598331, using the existing 20× forward-four-quarter non-GAAP operating-profit method and 4.94B share proxy. Excel Base 82 and analytical Base 82 are unchanged. The prior text still showing Excel Base 99 was stale after the owner's override removal; correcting that label is not a new Base change.

BofA GLOBAL RESEARCH

Exhibit 13: We expect NVDA to generally maintain ~70%+ AI accelerator share over time
AI accelerator (GPU/ASIC/XPU) potential sales power by vendor

AI Accelerator Sales Power	2024	2025	2026E	2027E	2028E	2029E	2030E
Nvidia ($bn)	$102.2	$162.4	$298.9	$515.0	$721.1	$894.2	$1,001.5
YoY		59%	84%	72%	40%	24%	12%
Implied Share	85%	82%	78%	75%	72%	71%	69%
AMD ($bn)	$5.0	$6.6	$14.5	$40.6	$64.2	$84.3	$102.3
YoY		34%	118%	180%	58%	31%	21%
Implied Share	4%	3%	4%	6%	6%	7%	7%
Broadcom ($bn)	$9.3	$16.2	$49.8	$102.6	$187.3	$224.8	$251.8
YoY		75%	208%	106%	83%	20%	12%
Implied Share	8%	8%	13%	15%	19%	18%	17%
Marvell ($bn)	$0.7	$1.3	$1.7	$3.0	$6.8	$11.3	$15.1
YoY		87%	25%	82%	128%	65%	34%
Implied Share	1%	1%	0%	0%	1%	1%	1%
Others/TBD ($bn)	$3.1	$12.3	$17.6	$25.7	$29.0	$52.4	$89.9
YoY		296%	43%	46%	13%	81%	72%
Implied Share	3%	6%	5%	4%	3%	4%	6%
Total Market ($bn)	$120.2	$198.8	$382.4	$686.9	$1,008.5	$1,266.9	$1,460.5
YoY		65%	92%	80%	47%	26%	15%

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

BofA October 9, 2026, page 11. Calendar-year accelerator forecasts in USD B. Source categories and fiscal timing differ from this artifact's combined AI-semiconductor branch.

Source: owner-supplied BofA Q3 Cloud Capex Preview, October 9, 2026, pp. 10-11. File SHA-256: 67cba01b2d792695623b67cd70427e743e7dc5665b18d8aa901a4da5d6a9462c. No analyst target or multiple is adopted.

Approved breadcrumb inputs and source images

These probabilities are explicit investment judgments under Framework 8.0, not measured statistical frequencies or claims of confirmed orders. Unconfirmed but credible evidence can affect the model when its company-specific transmission is quantified.

Goldman AI semiconductor forecast versus existing path

Active probability: 25% common-period/scope execution case.

Apply the semiconductor revenue lines, not the trillion-dollar infrastructure capex total. Lower weighting reflects the existing strong management trajectory and possible fiscal/calendar mismatch.

Operating bridge: The inherited branch places conditional AI semiconductor revenue 125.477B/240.306B in FY2027/FY2028 model buckets. This is an analyst timing assumption; the original calendar/fiscal source ambiguity remains explicit. Existing quarterly sales mix and semiconductor OP margins retained. Beyond 2028 hold the incremental 2028 dollars constant, divided equally by quarter.

Limits and counter-evidence: This is an alternative aligned-calendar assumption, not a claim that a fiscal-year beat of the same size is certain. TPU/Macquarie mapping corroborates existing programs. No additional whole-server wallet.

Exhibit 3: Our bottom-up AI infrastructure Capex build implies $1.3tn/$2tn in annual AI infrastructure spending on compute/networking in 2027/28

	2026	2027	2028
Nvidia			
Total Blackwell GW Deployments	12	3	-
Total Rubin GW Deployments	2	15	19
Total Feynman GW Deployments			3
Total GW deployments	**14**	**18**	**22**
CapEx per GW ($bn)	50	50	50
Total CapEx with Nvidia products ($bn)	**682**	**879**	**1,091**
Broadcom			
Custom XPU revenue ($mn)	39,373	86,176	168,126
AI Connectivity revenue ($mn)	18,465	39,300	72,180
Total AI Revenue ($mn)	57,838	125,477	240,306
Total GW deployments	**5**	**10**	**20**
CapEx per GW ($bn)	25	25	25
Total CapEx with Broadcom products ($bn)	**126**	**250**	**500**
AMD			
Datacenter GPU revenue ($mn)	15,662	42,317	56,017
Revenue per GW ($mn)	17,500	17,500	17,500

User-supplied evidence for Goldman AI semiconductor forecast versus existing path. The quoted forecast or estimate retains the source status described above. Original exhibit, panel 1 of 2; read from top to bottom.

Total GW Deployments	**1**	**2**	**3**
CapEx per GW ($bn)	35	35	35
Total CapEx with AMD products ($bn)	**31**	**85**	**112**
MediaTek			
Datacenter ASIC revenue ($mn)	2,200	20,250	52,500
Revenue per GW ($mn)	5,000	5,000	5,000
Total GW Deployments	**0.4**	**4**	**11**
CapEx per GW ($bn)	25	25	25
Total CapEx with MediaTek products ($bn)	**11**	**101**	**263**
Marvell			
Datacenter ASIC revenue ($mn)	2,283	4,662	8,435
Revenue per GW ($mn)	5,000	5,000	5,000
Total GW Deployments	**0.5**	**0.9**	**2**
CapEx per GW ($bn)	25	25	25
Total CapEx with Marvell products ($bn)	**11**	**23**	**42**
Consolidated Summary			
Total GW Deployments	20	35	57
Total AI CapEx ($bn)	**861**	**1,338**	**2,008**
Implied CapEx/GW ($bn)	42	38	35

Source: Company data, Goldman Sachs Global Investment Research

User-supplied evidence for Goldman AI semiconductor forecast versus existing path. The quoted forecast or estimate retains the source status described above. Original exhibit, panel 2 of 2; read from top to bottom.

Company	Chip	Process	Design service provider	AI card assembler	AI server assembler	Memory specs	Memory bandwidth	Mass produ
AWS								
	Inferentia 2	7nm TSMC	Alchip (back-end)	Accton	Wiwynn	HBM2e 32GB (2x16)	820 GB/s	2H22
	Inferentia 2.5 / Trainium 2	5nm TSMC	Marvell (back-end)	Accton	Wiwynn	HBM3 96GB (6x16)	2,900 GB/s	2H24
	Trainium 3	3nm TSMC	Alchip (back-end)	Accton/Fabrinet	Wiwynn			1H26
	Trainium 4	2nm TSMC	Alchip (back-end)	Accton/Fabrinet	Wiwynn			2027
	Graviton v3 (CPU)	5nm TSMC	AWS in-house		Wiwynn/Hon Hai			2022
	Graviton v4 (CPU)	4nm TSMC	AWS in-house		Wiwynn/Hon Hai			2024
Google								
	TPUv5p	7nm TSMC	Broadcom	Celestica	Celestica	HBM2e 95GB	2,765 GB/s	2023
	TPUv6e (Trillium)	5nm TSMC	Broadcom	Celestica	Celestica	HBM3/3e 32GB	1,600 GB/s	2024
	TPUv6p	3nm TSMC	Broadcom	Celestica	Celestica			2025
	TPUv7e	3nm TSMC	Mediatek (back-end & I/O)	Celestica	Celestica			2H25
	TPUv7p (Ironwood)	3nm TSMC	Broadcom	Celestica	Celestica			2H25
	TPUv8i	3nm TSMC	Broadcom	Celestica	Celestica			2H26
	TPUv8t	3nm TSMC	Mediatek (back-end & I/O)	Celestica	Celestica			2H26
	Axion (CPU)	5nm TSMC	Marvell (back-end)			DDR5 576GB		1H24
	Axion 2 (CPU)	3nm TSMC	GUC (wafer logistics mgnt)					2026
MSFT								
	Maia 100	5nm TSMC	GUC (wafer logistics mgnt)	n.a.		HBM2e 64GB (4x16)	1,800 GB/s	1H24
	Maia 200	3nm TSMC	Marvell (back-end)					2026
	Cobalt 100 (CPU)	5nm TSMC	GUC (wafer logistics mgnt)			DDR5 12 channel		2H24
	Cobalt 200 (CPU)	3nm TSMC	GUC (wafer logistics mgnt)					2026
Meta								
	MTIA	7nm TSMC	Broadcom	n.a.	Wiwynn	LPDDR5 128GB		2H23-1H24
	MTIA v2	5nm TSMC	Broadcom		Wiwynn	LPDDR5 128GB	204.8 GB/s	2H25
	MTIA v3/MTIA T-V1	3nm TSMC	Broadcom		Quanta / Celestica	HBM3E		2H26
	(CPU gen 1)	3nm TSMC	SocioNext					2026
Intel (Habana)								
	Gaudi 2	7nm TSMC	Alchip (back-end)	Accton	Wiwynn	HBM2E 96GB (6x16)	2,450 GB/s	2H23
	Gaudi 3	5nm TSMC	Alchip (back-end)	Accton	Wiwynn	HBM2E 128GB (8x16)	3,700 GB/s	2H24
	Falcon shores							
	Jaguar Shores	Intel 18A						

User-supplied evidence for Goldman AI semiconductor forecast versus existing path. The quoted forecast or estimate retains the source status described above.

Sources: GS, ASIC.

Transmission field	Active treatment
Probability	25% common-period/scope execution case
Recognition	The inherited branch places conditional AI semiconductor revenue 125.477B/240.306B in FY2027/FY2028 model buckets. This is an analyst timing assumption; the original calendar/fiscal source ambiguity remains explicit. Existing quarterly sales mix and semiconductor OP margins retained. Beyond 2028 hold the incremental 2028 dollars constant, divided equally by quarter.
Overlap / uncertainty	This is an alternative aligned-calendar assumption, not a claim that a fiscal-year beat of the same size is certain. TPU/Macquarie mapping corroborates existing programs. No additional whole-server wallet.
Raise probability	Timely qualifying milestones, comparable revenue scope, stronger customer allocation and observed unit economics.
Lower probability	Delay, customer substitution, weaker realized economics, overlap or evidence contradicting the stated source scope.

Investment conclusion

Broadcom is the broadest vertically integrated control point in custom AI compute and Ethernet networking: custom accelerators, switch and routing silicon, SerDes, optical DSPs and lasers, plus a recurring infrastructure-software base. FQ3 converted the thesis from a large backlog story into a quantified multi-year earnings trajectory: AI semiconductor revenue reached $16.7B, management guided $21.7B for FQ4, and laid out AI revenue of roughly $58B in FY2026, $115B in FY2027 and $230B in FY2028.

The 🔒 classification rests on multi-generation custom-silicon qualification, system co-design and ownership of the surrounding networking stack. It is not a claim that every component is sole-source: Marvell, MediaTek, hyperscaler internal teams and merchant alternatives remain credible. The active model therefore uses 20× rather than a scarcity-premium multiple and keeps explicit customer-concentration and share-loss risks.

S-curve position: steep deployment phase. FY2027-FY2028 growth is already supported by customer programs and power/GW plans, while the model deliberately moderates after FY2028.
TAM lens: custom accelerators, scale-up/scale-out Ethernet, optical interconnect and infrastructure software.
Cross-book role: validates AI-cluster demand for optical, connectivity and system suppliers elsewhere in the portfolio.

Framework score

Category	Score	Evidence
Core Thesis	18/20	Multi-generation custom ASIC lock-in plus a vertically integrated Ethernet/optical stack; deductions for customer concentration and credible second-sourcing
Cycle Stage	10/10	FQ3 revenue $29.591B; AI semiconductor $16.7B; FQ4 AI guide $21.7B
TAM Expansion	10/10	Management's AI revenue ladder doubles from about $115B FY2027 to $230B FY2028 across compute and networking
Catalysts	5/5	FQ4 guide, FY2027 customer ramps, FY2028 power deployment and EPS checkpoints
Macro	10/10	AI infrastructure programs and contracted multi-year demand visibility; contingent vendor funding is assessed separately in the risk deduction
Alpha	0/5	Mega-cap, densely covered and broadly owned; the edge is execution monitoring, not discovery
Risks	-4	Four independently scored risks below, including contingent customer-credit / lease-funding exposure
Total / Base	**49/60 = 82%**	81.666667%, rounded to **82**; Excel Base remains **82**

Latest earnings anchor

FQ3 FY2026 metric	Actual	Read-through
Revenue	$29.591B	New quarterly base
Semiconductor solutions	$20.839B	Includes $16.7B AI semiconductor revenue
Infrastructure software	$8.752B	Durable recurring-profit ballast
Non-GAAP operating profit	$20.095B	67.9% operating margin
FQ4 revenue guide	~$34.8B	Semiconductor ~$26.1B; software ~$8.7B
FQ4 AI semiconductor guide	~$21.7B	Sequential acceleration
Multi-year AI outlook	~$58B FY26; ~$115B FY27; ~$230B FY28	Core calibration spine
FY2028 EPS statement	Greater than $30	Model cross-check, not the ceiling basis

Customer-credit and lease-funding evidence - 2 October 2026

Broadcom's 10-Q, Note 10 (printed page 21), permits an unnamed customer to issue conditional convertible notes to Broadcom of up to **USD 42B**, solely for lease obligations. **No notes had been issued as of August 2, 2026**; that is not proof of the October 2 balance. It separately discloses an AI-rack lease backstop with approximately **USD 29B** maximum fully deployed, undiscounted exposure. The backstop grows with deployments and falls with customer payments; default liability reflects 85% of outstanding covered amounts less asset-sale recovery. Its fair value was immaterial and no payments had been made. These commitments are not additional revenue or Broadcom borrowings, and **USD 29B is not added to USD 42B** in the stress below. Broadcom 10-Q

Reuters on October 1 identifies Anthropic from a prospectus it reviewed and reports a USD 125.2B five-year TPU-capacity lease commitment. That customer identity and additional lease detail remain **Reuters attribution**, not independently verified here from a public Anthropic filing. Reuters says no note sales were expected before IPO completion; that expectation does not establish current utilization. The five-year lease term is not a verified note maturity or facility expiry. Reuters via CNA

The existing concentration deduction addresses lost orders, customer delays and programme timing. The added **-1 risk point** addresses a distinct mechanism: a customer-credit event can require funding or absorb cash **after hardware has been delivered**, even without an additional lost-order assumption. The total risk deduction changes from -3 to -4; 18 + 10 + 10 + 5 + 10 + 0 - 4 = **49/60**, giving analytical Base **82**. This judgment does not change Excel Base **82** or the operating ceiling.

Standalone analyst cash-stress sensitivity

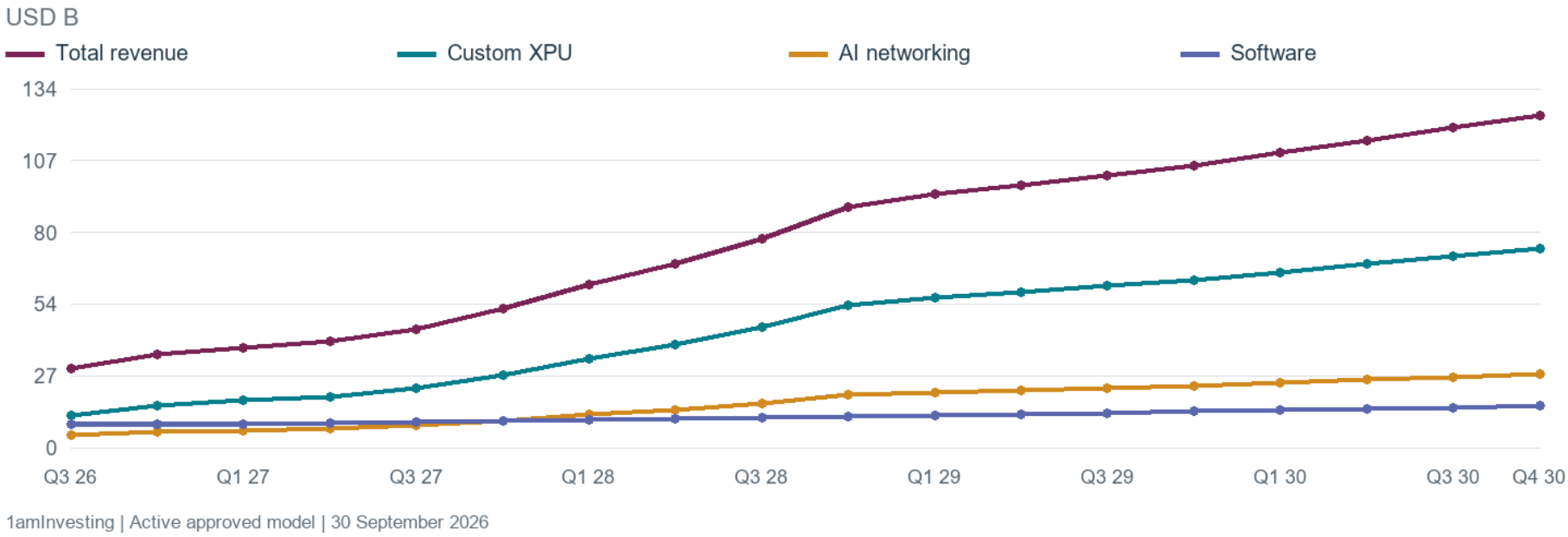
Assumption / arithmetic	Stress input or result	Status
Severe customer-default probability over five years	10%	Subjective cumulative stress probability; not an annual rate, a rating-agency estimate or the existing 25% operating-event probability
Conditional facility utilization	50% of USD 42B = USD 21B	Assumed exposure in the severe case; actual current utilization is not established
Loss given default	30%	Analyst stress assumption after recoveries; not a disclosed recovery valuation
Conditional cash loss	USD 21B × 30% = USD 6.3B	Severe-case illustration
Probability-weighted cash stress	10% × 50% × USD 42B × 30% = **USD 0.63B**	Five-year stress amount, not annualized expense

This sensitivity is **not a GAAP reserve, a booked liability, an OP charge or a target-price deduction**. It is not added to the separate USD 29B backstop, and it does not treat financing capacity as incremental chip sales. Funding source, utilization dates, note economics, collateral recovery and exposure overlap must be established before constructing a dated cash-flow forecast. The 20x non-GAAP OP method, margins, share schedule, 25% operating-event probability, all financial tables and all quarterly ceilings remain unchanged.

Revenue vectors and unit economics

Custom XPU and networking retain the 73%/27% analyst allocation within AI semiconductor revenue. Semiconductor operating margin and software operating margin are separate inputs. They are not disclosed product gross margins. No full-system capex revenue is added.

Quarterly revenue and mix



Active current quarterly model. Source: AVGO_Q_Model. Values and units are shown in the table below.

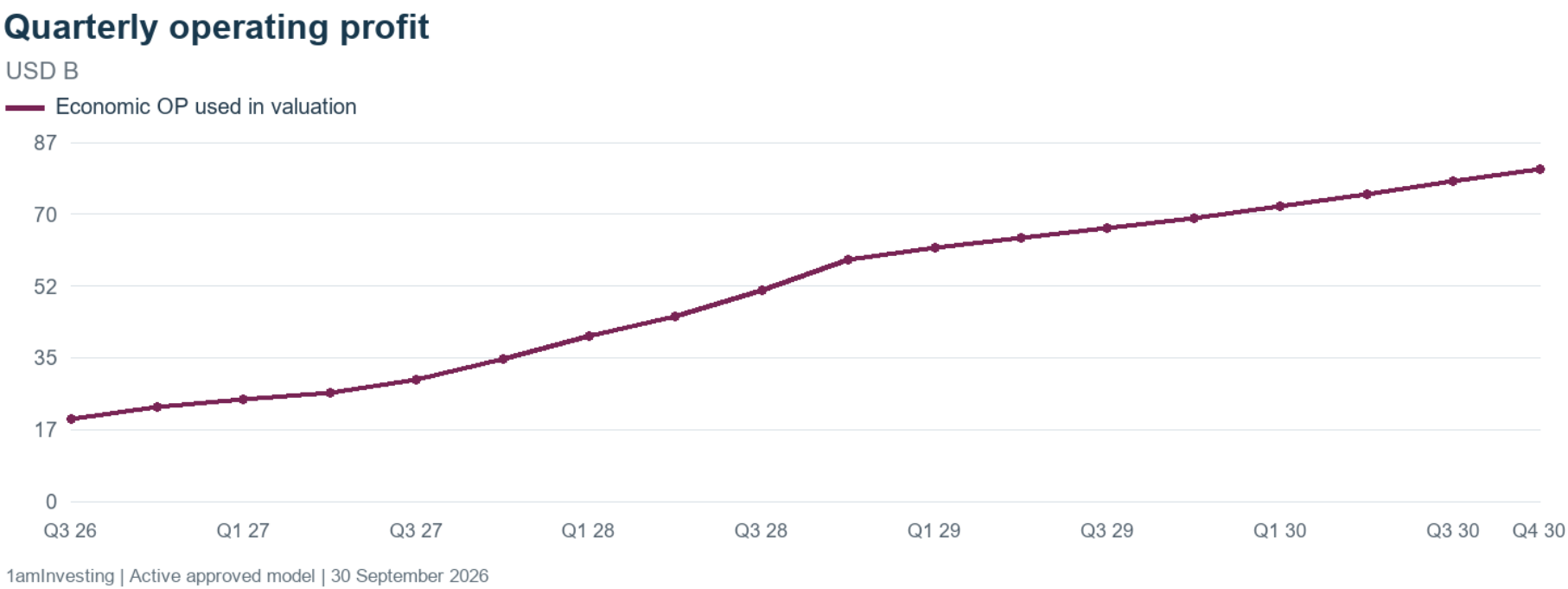
Quarter	Custom XPU	AI networking	Non-AI semi	Software	Total revenue
Q3 2026	12.191	4.509	4.139	8.752	29.591
Q4 2026	15.841	5.859	4.400	8.700	34.800
Q1 2027	17.546	6.490	4.500	8.800	37.335
Q2 2027	19.039	7.042	4.600	9.000	39.681
Q3 2027	22.025	8.146	4.700	9.400	44.272
Q4 2027	27.252	10.079	4.800	9.800	51.931
Q1 2028	33.218	12.286	5.000	10.200	60.704
Q2 2028	38.385	14.197	5.200	10.600	68.383
Q3 2028	45.029	16.654	5.400	11.000	78.083

Quarter	Custom XPU	AI networking	Non-AI semi	Software	Total revenue
Q4 2028	53.149	19.658	5.600	11.500	89.907
Q1 2029	55.950	20.694	5.750	12.000	94.394
Q2 2029	58.140	21.504	5.900	12.500	98.044
Q3 2029	60.330	22.314	6.050	13.000	101.694
Q4 2029	62.520	23.124	6.200	13.500	105.344
Q1 2030	65.440	24.204	6.350	14.000	109.994
Q2 2030	68.360	25.284	6.500	14.500	114.644
Q3 2030	71.280	26.364	6.650	15.000	119.294
Q4 2030	74.200	27.444	6.800	15.500	123.944

Segment operating margins

Quarter	Semiconductor OP margin	Software OP margin
Q3 2026	61.0%	84.0%
Q4 2026	60.0%	84.0%
Q1 2027	60.5%	84.5%
Q2 2027	61.0%	85.0%
Q3 2027	61.5%	85.0%
Q4 2027	62.0%	85.5%
Q1 2028	62.0%	86.0%
Q2 2028	62.0%	86.0%
Q3 2028	62.0%	86.0%
Q4 2028	62.0%	86.0%
Q1 2029	62.0%	86.0%
Q2 2029	62.0%	86.0%
Q3 2029	62.0%	86.0%
Q4 2029	62.0%	86.0%
Q1 2030	62.0%	86.0%
Q2 2030	62.0%	86.0%
Q3 2030	62.0%	86.0%
Q4 2030	62.0%	86.0%

Operating profit and cost bridge



Current operating-profit path. Consolidated and parent economic profit are distinguished where minority claims apply.

Quarter	Status	Revenue	Gross profit	Opex	Consolidated OP	Valuation OP	OP / revenue
Q3 2026	Actual	29.591	n.a.	n.a.	20.095	20.095	67.9%
Q4 2026	Guidance	34.800	n.a.	n.a.	22.968	22.968	66.0%
Q1 2027	Model	37.335	n.a.	n.a.	24.700	24.700	66.2%
Q2 2027	Model	39.681	n.a.	n.a.	26.365	26.365	66.4%
Q3 2027	Model	44.272	n.a.	n.a.	29.436	29.436	66.5%
Q4 2027	Model	51.931	n.a.	n.a.	34.500	34.500	66.4%
Q1 2028	Model	60.704	n.a.	n.a.	40.085	40.085	66.0%
Q2 2028	Model	68.383	n.a.	n.a.	44.941	44.941	65.7%

Quarter	Status	Revenue	Gross profit	Opex	Consolidated OP	Valuation OP	OP / revenue
Q3 2028	Model	78.083	n.a.	n.a.	51.052	51.052	65.4%
Q4 2028	Model	89.907	n.a.	n.a.	58.502	58.502	65.1%
Q1 2029	Model	94.394	n.a.	n.a.	61.404	61.404	65.1%
Q2 2029	Model	98.044	n.a.	n.a.	63.787	63.787	65.1%
Q3 2029	Model	101.694	n.a.	n.a.	66.170	66.170	65.1%
Q4 2029	Model	105.344	n.a.	n.a.	68.553	68.553	65.1%
Q1 2030	Model	109.994	n.a.	n.a.	71.556	71.556	65.1%
Q2 2030	Model	114.644	n.a.	n.a.	74.559	74.559	65.0%
Q3 2030	Model	119.294	n.a.	n.a.	77.562	77.562	65.0%
Q4 2030	Model	123.944	n.a.	n.a.	80.565	80.565	65.0%

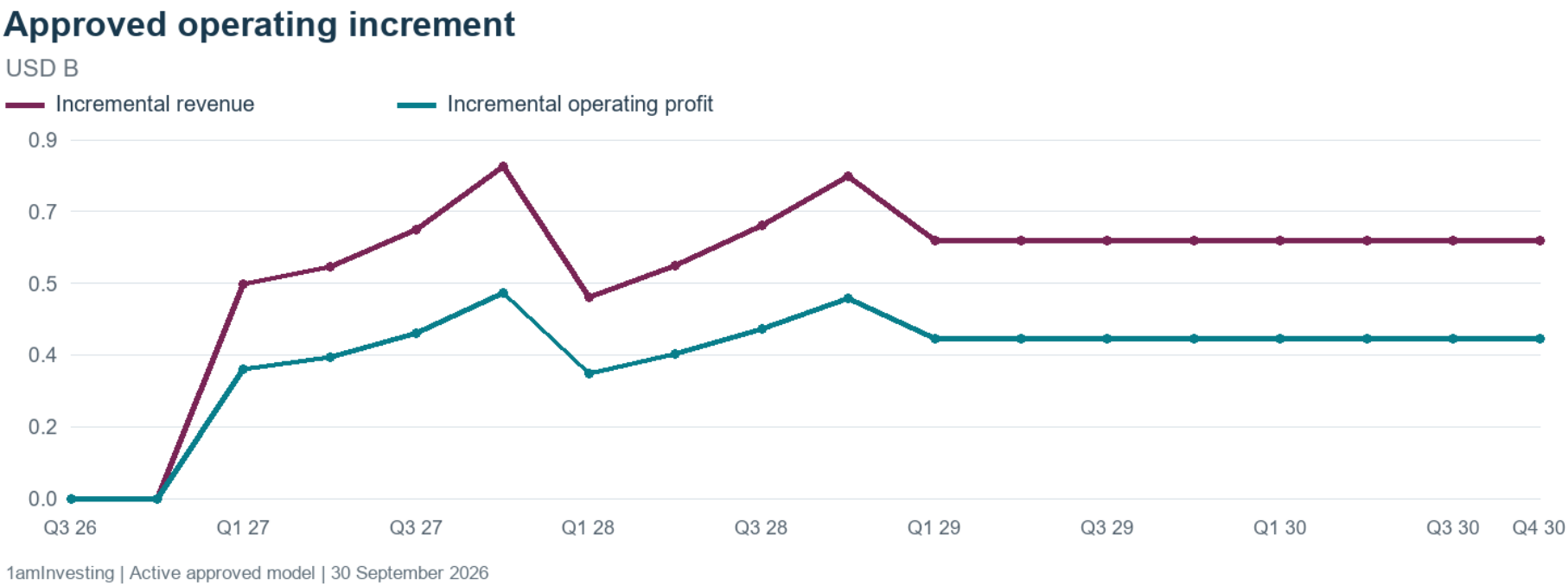
Gross profit and corporate opex are not independently forecast here. Non-GAAP operating profit is semiconductor revenue x semiconductor OP margin plus software revenue x software OP margin; n.a. GP/opex cells reflect that established method.

Annual cross-check and demand scale

Calendar buckets sum the stated quarter labels; fiscal proxy mappings remain as in the company earnings section. These totals do not replace rolling valuation windows. 2026 is only H2 in this table.

Year	Revenue USD B	Valuation OP USD B	OP margin
2026 H2	64.391	43.063	66.9%
2027	173.219	115.002	66.4%
2028	297.077	194.579	65.5%
2029	399.476	259.915	65.1%
2030	467.877	304.243	65.0%

Operating driver and probability transmission



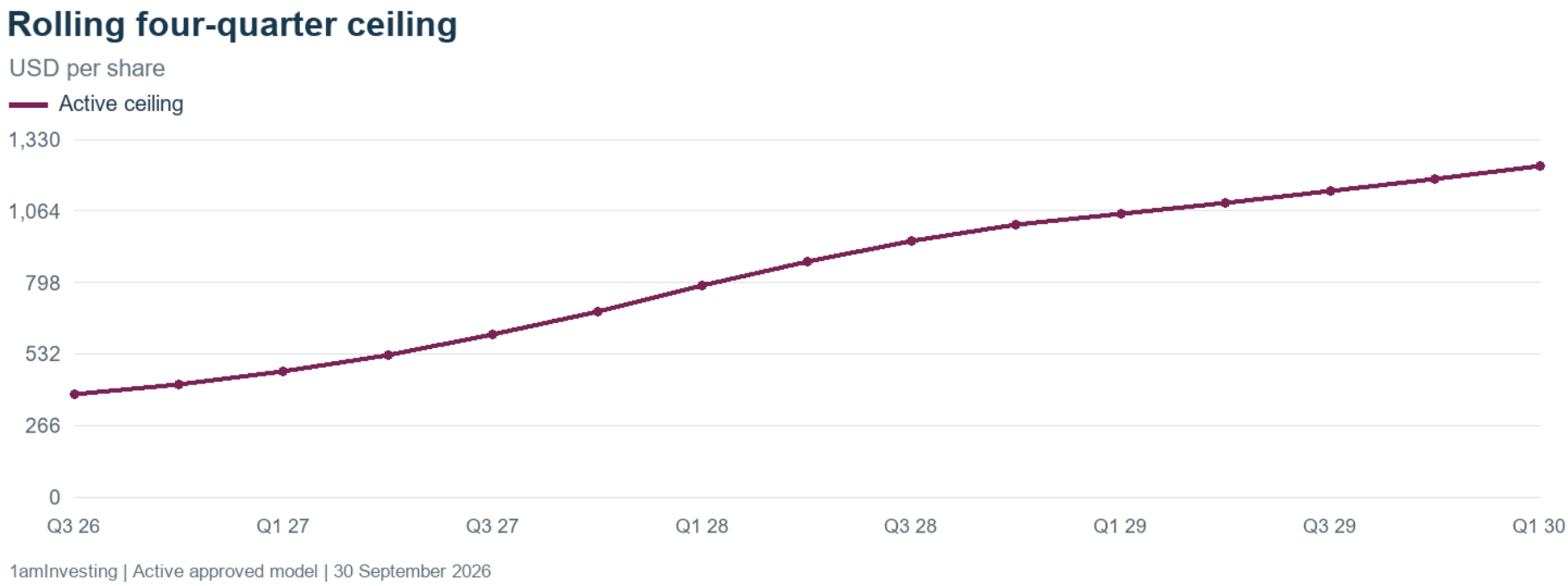
Difference attributable solely to the approved breadcrumb inputs. Negative values are retained; this is not an additional revenue pool.

Quarter	Revenue increment USD B	OP increment USD B
Q3 2026	0.0000	0.0000
Q4 2026	0.0000	0.0000
Q1 2027	0.5352	0.3238
Q2 2027	0.5808	0.3543
Q3 2027	0.6719	0.4132
Q4 2027	0.8313	0.5154
Q1 2028	0.5041	0.3125
Q2 2028	0.5825	0.3612

Quarter	Revenue increment USD B	OP increment USD B
Q3 2028	0.6833	0.4237
Q4 2028	0.8066	0.5001
Q1 2029	0.6441	0.3994
Q2 2029	0.6441	0.3994
Q3 2029	0.6441	0.3994
Q4 2029	0.6441	0.3994
Q1 2030	0.6441	0.3994
Q2 2030	0.6441	0.3994
Q3 2030	0.6441	0.3994
Q4 2030	0.6441	0.3994

Rolling forward-four-quarter ceiling

The ceiling uses operating profit in the stated quarter plus the next three quarters. The company-specific method remains **20x non-GAAP operating profit**. Revenue/profit and shares in billions. Fiscal proxy mapping retained; calendar/fiscal comparability is in the 25% event probability. Probability is applied to the specified operating increment once; the ceiling receives no second probability or Base multiplier.



Current ceiling path. A negative-profit window is marked neg rather than assigned a positive operating-profit ceiling.

Quarter	Exact earnings window	Forward 4Q OP	Multiple	Shares billions	Unit / FX	Ceiling USD
Q3 2026	Q3 2026 to Q2 2027	94.128	20x	4.940000	1.000	381.0854
Q4 2026	Q4 2026 to Q3 2027	103.469	20x	4.940000	1.000	418.9041
Q1 2027	Q1 2027 to Q4 2027	115.002	20x	4.940000	1.000	465.5941
Q2 2027	Q2 2027 to Q1 2028	130.386	20x	4.940000	1.000	527.8804
Q3 2027	Q3 2027 to Q2 2028	148.962	20x	4.940000	1.000	603.0864
Q4 2027	Q4 2027 to Q3 2028	170.578	20x	4.940000	1.000	690.5983
Q1 2028	Q1 2028 to Q4 2028	194.579	20x	4.940000	1.000	787.7710
Q2 2028	Q2 2028 to Q1 2029	215.899	20x	4.940000	1.000	874.0860
Q3 2028	Q3 2028 to Q2 2029	234.745	20x	4.940000	1.000	950.3864

Quarter	Exact earnings window	Forward 4Q OP	Multiple	Shares billions	Unit / FX	Ceiling USD
Q4 2028	Q4 2028 to Q3 2029	249.864	20x	4.940000	1.000	1,011.5957
Q1 2029	Q1 2029 to Q4 2029	259.915	20x	4.940000	1.000	1,052.2892
Q2 2029	Q2 2029 to Q1 2030	270.067	20x	4.940000	1.000	1,093.3904
Q3 2029	Q3 2029 to Q2 2030	280.839	20x	4.940000	1.000	1,137.0017
Q4 2029	Q4 2029 to Q3 2030	292.231	20x	4.940000	1.000	1,183.1232
Q1 2030	Q1 2030 to Q4 2030	304.243	20x	4.940000	1.000	1,231.7548

Arithmetic and denominator sensitivity

- Q3 2026: (20.0950 + 22.9680 + 24.6998 + 26.3653) x 20 x 1 / 4.940000 = 381.0854 USD/share.
- Q4 2026: (22.9680 + 24.6998 + 26.3653 + 29.4362) x 20 x 1 / 4.940000 = 418.9041 USD/share.
- Q1 2027: (24.6998 + 26.3653 + 29.4362 + 34.5004) x 20 x 1 / 4.940000 = 465.5941 USD/share.
- Q2 2027: (26.3653 + 29.4362 + 34.5004 + 40.0845) x 20 x 1 / 4.940000 = 527.8804 USD/share.
- Q3 2027: (29.4362 + 34.5004 + 40.0845 + 44.9412) x 20 x 1 / 4.940000 = 603.0864 USD/share.
- Q4 2027: (34.5004 + 40.0845 + 44.9412 + 51.0517) x 20 x 1 / 4.940000 = 690.5983 USD/share.
- Q1 2028: (40.0845 + 44.9412 + 51.0517 + 58.5021) x 20 x 1 / 4.940000 = 787.7710 USD/share.
- Q2 2028: (44.9412 + 51.0517 + 58.5021 + 61.4044) x 20 x 1 / 4.940000 = 874.0860 USD/share.
- Q3 2028: (51.0517 + 58.5021 + 61.4044 + 63.7874) x 20 x 1 / 4.940000 = 950.3864 USD/share.
- Q4 2028: (58.5021 + 61.4044 + 63.7874 + 66.1704) x 20 x 1 / 4.940000 = 1,011.5957 USD/share.
- Q1 2029: (61.4044 + 63.7874 + 66.1704 + 68.5534) x 20 x 1 / 4.940000 = 1,052.2892 USD/share.
- Q2 2029: (63.7874 + 66.1704 + 68.5534 + 71.5564) x 20 x 1 / 4.940000 = 1,093.3904 USD/share.
- Q3 2029: (66.1704 + 68.5534 + 71.5564 + 74.5594) x 20 x 1 / 4.940000 = 1,137.0017 USD/share.
- Q4 2029: (68.5534 + 71.5564 + 74.5594 + 77.5624) x 20 x 1 / 4.940000 = 1,183.1232 USD/share.
- Q1 2030: (71.5564 + 74.5594 + 77.5624 + 80.5654) x 20 x 1 / 4.940000 = 1,231.7548 USD/share.

Q3 2027 denominator case	Shares billions	Ceiling USD
10% fewer shares	4.446000	670.0960
Active schedule	4.940000	603.0864

Q3 2027 denominator case	Shares billions	Ceiling USD
10% more shares	5.434000	548.2603

These are arithmetic sensitivities with unchanged profit, not extra operating scenarios or forecasts of financing. The Q3 2027 denominator table is retained as a reference sensitivity; the active headline now uses the existing Q4 2027 window.

Key risks and kill switches

Risk	Score	Observable kill switch
Customer concentration / program timing	-1	A top AI customer delays a generation or materially cuts its committed ramp
Custom-silicon share loss	-1	A tier-one program moves primary design responsibility to MediaTek, Marvell or an internal team
Regulation and platform competition	-1	Antitrust remedy or a competing proprietary fabric impairs bundled economics
Contingent customer-credit / lease funding	-1	Customer default, a financing draw or lease-backstop call creates cash exposure after delivery; examine utilization, counterparties, collateral and recoveries separately from lost-order risk

Re-rate triggers

Counter	Raise trigger	Cut trigger	Next dated check
AI revenue	FY2027/FY2028 ladder met or raised	Two consecutive quarters below the stated path	FQ4 FY2026 results
Operating leverage	Consolidated non-GAAP margin holds ≥66% through mix acceleration	Margin falls below 63% without a deliberate investment step-up	Each quarterly print
Customer breadth	Additional customer reaches material production	Concentration rises while a flagship program is second-sourced	FY2027 program updates
Networking/optics	AI-networking growth keeps pace with xPU deployments	Merchant or proprietary fabric reduces Broadcom content per cluster	Product and earnings updates
Customer credit / lease funding	Documented third-party funding and recoveries limit retained exposure	Increasing funded exposure, collateral shortfall, accelerated lease claims or customer default	Next quarterly filing and material financing disclosure

Sources

- Broadcom 10-Q, Note 10, printed page 21, quarter ended August 2, 2026; filed September 10.

- Reuters financing report, carried by CNA, October 1, 2026; customer identity remains attributed reporting.
- Broadcom FQ3 FY2026 results: https://investors.broadcom.com/news-releases/news-release-details/broadcom-inc-announces-third-quarter-fiscal-year-2026-financial
- Broadcom FQ3 FY2026 earnings-call transcript: https://www.investing.com/news/transcripts/earnings-call-transcript-broadcom-tops-q3-2026-estimates-as-ai-sales-surge-93CH-4886849

Model support: AVGO_Q_Model in G:\My Drive\1amInvesting\Artifacts\v3_2_master_portfolio.xlsx. **Current artifact path:** G:\My Drive\1amInvesting\Artifacts\AVGO_Broadcom_DeepDive.md.

Model reconciliation and limitations

Current tables match AVGO_Q_Model and the approved proposal at every available quarter. Excel Base overrides, valuation methods, share schedules and units are preserved. The next 12-16 months deserve the highest forecast weight; outer-year estimates are substantially less reliable.

Revisit probabilities and operating inputs as evidence changes. Official confirmation is not required to value a quantified breadcrumb; source uncertainty remains explicit.